

in April to June 2022. Then, around 1,100 employees were asked to leave from Toppr, a smaller rival it bought for \$150 million in July 2021.

“Both managements (BYJU’S and Toppr) promised us that our jobs are safe, and in fact we need to hire more. They even promised us that our CTS (salary) will remain the same, and we may even get a hike. We got our appointment letter from BYJU’S and our email addresses were changed to BYJU’S. On June 27, without any warning, they informed hundreds of us that Toppr is officially merging with BYJU’S and they couldn’t find a suitable position for us,” a teacher with Toppr’s Knowledge Team tells *BT*.

106|

K RISHNAN GANESH, serial entrepreneur and promoter of bigbasket, Portea Medical and HomeLane, among others, is unconcerned. “They have done multiple acquisitions, so there will be duplicity of roles and, therefore, lay-offs too. It happens in any acquisition. Besides, all edtechs have taken up massive expansion drives to capitalise on the pandemic-induced growth opportunity. As a result of the tapering down of demand back to normal, there is expected to be some moderation in terms of what talent and how much talent is required. But the lay-offs are only a minuscule portion of the total number of jobs created,” he says.

He has a point. BYJU’S is a 40,000 people strong company today. From being a pure-play K12 player, it has diversified to professional and higher education with the \$600-million acquisition of Great Learning, test prep with Gradeup, kids coding with WhiteHat Jr, and brick-and-mortar coaching with Aakash. The Bengaluru-based decacorn has also widened its geographical reach with buyouts

of Epic, Tynker and Osmo in the US, and GeoGebra in Australia.

BYJU’S declined to participate in this story.

It is believed that BYJU’S has made a proposal to acquire Maryland, US-based online university degree provider 2U in a \$2.4-billion deal. That is 2.5x the cost of the Aakash acquisition, and would come with a billion dollars of debt and over \$67 million of quarterly cash burn.

“They bought Great Learning. They want to go acquire 2U. What’s the strategy here? You offer K12 assistance and then help students for

test prep to get into a course, but how will you take them to your higher ed programmes? Can your students afford a 2U, which offers degrees with US universities priced at \$50,000-\$80,000? In the short term, you will get lot of arbitrage and people buy the story, but in the long term, markets don’t reward such plays so well,” a late-stage investor says.

Some say BYJU’S acquisition spree is a case of buying revenue as news reports point to a doubling of its revenue to nearly ₹10,000 crore or \$1.25 billion in FY22. It has not filed its audited financial accounts

BYJU’S ACQUISITIONS

Inorganic growth via acquisitions has been a key strategy for BYJU’S

Date	Acquisitions	Deal value
Feb 2015	Specadel	NA
Jun 2016	Infiken Internet Labs	NA
Jan 2017	Vidyarthi	7.5
Jul 2017	TutorVista	NA
Jul 2017	Edurite	NA
Jul 2018	Math Adventures	NA
Jan 2019	Osmo	120
Jul 2020	WhiteHat Jr	300
Sep 2020	LabInApp	NA
Feb 2021	Scholr	2.5
Apr 2021	Aakash Educational Services	950
May 2021	HashLearn	NA
Jul 2021	Great Learning	600
Jul 2021	Toppr	150
Jul 2021	Epic	500
Aug 2021	Whodat	NA
Sep 2021	Gradeup	NA
Sep 2021	Tynker	200
Nov 2021	Hello English	25
Dec 2021	GeoGebra	100

DEAL VALUE IN \$ MILLION; NA: NOT AVAILABLE

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